

Individual Trust vs. Joint Trust: Deciding Which One Is Right for You

One of the most common questions married couples face during the estate planning process is whether they should create a joint trust together or maintain separate individual trusts. While both approaches can be effective estate planning tools, the right choice depends on a family's goals, assets, relationships, and long-term planning priorities.

There is no one-size-fits-all answer. Each option offers different advantages and considerations, and understanding those differences can help families make informed decisions about how they want their estate plan structured.

What Is a Revocable Living Trust?

A revocable living trust is a legal arrangement that allows individuals to place assets into a trust during their lifetime while maintaining control over those assets. The person creating the trust—often called the grantor or settlor—typically serves as the initial trustee and beneficiary during life.

Revocable trusts are commonly used to:

- Manage assets during incapacity
- Provide instructions for asset distribution after death
- Potentially reduce or avoid probate
- Maintain privacy regarding estate administration
- Simplify asset management for family members

For married couples, trusts are often structured either as a joint trust shared by both spouses or as separate individual trusts for each spouse.

What Is a Joint Trust?

A joint trust is a single trust created and shared by both spouses. Assets owned by either or both spouses may be transferred into the same trust, and both spouses typically serve as co-trustees while living.

During their joint lifetimes, the trust generally functions as a shared management vehicle for family assets. After the death of the first spouse, the surviving spouse often continues managing the trust, with the trust eventually distributing assets according to its terms after the surviving spouse's death.

Advantages of a Joint Trust

For many married couples, joint trusts offer simplicity and convenience.

Potential advantages include:

- One trust document instead of two
- Simplified administration of jointly managed assets
- Easier asset management during marriage
- Reduced duplication of legal documents
- Streamlined administration for surviving spouses

Joint trusts are particularly common among couples who:

- Have long-term marriages
- Share most or all assets jointly
- Have the same beneficiaries
- Have children together
- Prefer a simpler estate plan structure

For couples with unified financial goals and uncomplicated family dynamics, a joint trust can provide an efficient and straightforward planning solution.

Potential Drawbacks of a Joint Trust

While joint trusts can work well for many couples, they are not ideal in every situation.

Potential concerns may include:

- Less separation between each spouse's assets
- Reduced flexibility for individualized planning
- Complications in blended family situations
- Difficulty distinguishing separate property from marital property
- Potential challenges in asset protection or tax planning strategies

Joint trusts may become more complicated when spouses have children from prior relationships, substantial separate assets, business interests, or differing wishes regarding ultimate beneficiaries.

What Is an Individual Trust?

An individual trust—sometimes called a separate trust—is created by one spouse individually. Married couples using separate trusts each maintain their own trust document and separately transfer assets into their respective trusts.

Each spouse typically serves as trustee of their own trust during life while retaining control over the assets held within that trust.

Advantages of Individual Trusts

Separate trusts often provide greater flexibility and customization.

Potential advantages include:

- Clear separation of each spouse's assets
- Greater flexibility in distribution planning
- More customized planning for children from prior relationships
- Easier management of separate property
- Potential tax-planning opportunities in certain circumstances
- Better coordination for business ownership or liability concerns

Individual trusts are frequently used when spouses:

- Have blended families
- Enter marriage with significant separate assets
- Own businesses separately
- Want different distribution plans
- Have concerns about preserving inheritances for children from prior relationships

Separate trusts can also help provide additional clarity regarding which assets belong to each spouse.

Potential Drawbacks of Individual Trusts

Separate trusts may involve additional complexity and administration.

Potential considerations include:

- Two separate trust documents
- Additional asset titling and maintenance

- More administrative work during life
- Potentially higher legal drafting costs
- Greater coordination needed between the two estate plans

For couples with simple estates and fully aligned goals, separate trusts may create unnecessary complexity without providing substantial additional benefits.

How Family Structure Can Affect the Decision

Family dynamics often play a major role in deciding between joint and separate trusts.

For example, blended families frequently require more customized planning. A spouse may want to ensure that certain assets ultimately pass to children from a prior marriage while still providing for the surviving spouse during life. Separate trusts often provide greater flexibility for addressing these concerns.

On the other hand, couples in long-term marriages with shared children and jointly managed assets may prefer the simplicity of a joint trust.

No trust structure eliminates the importance of clear communication and thoughtful planning. The right approach depends on balancing simplicity, flexibility, control, and long-term family goals.

Trust Funding Is Just as Important as the Trust Itself

Regardless of whether a family chooses a joint or individual trust structure, properly funding the trust is critical.

Creating a trust alone does not automatically transfer assets into it. Assets generally must be retitled or otherwise coordinated with the trust through deeds, account changes, beneficiary designations, or assignments.

An unfunded trust may fail to accomplish many of the goals the trust was designed to achieve.

Choosing the Right Trust Structure

The decision between a joint trust and separate trusts depends on many factors, including:

- Marital history
- Family relationships
- Asset ownership

- Business interests
- Privacy concerns
- Tax considerations
- Long-term distribution goals

What works well for one family may not be appropriate for another. Estate planning should be tailored to each family's unique circumstances rather than relying on a generic approach.

An experienced estate planning attorney can help evaluate the advantages and disadvantages of each structure and recommend an approach that aligns with a family's goals and priorities.

Estate Planning Should Reflect Your Family's Needs

Trust planning is ultimately about creating clarity, protecting loved ones, and ensuring that assets are managed and distributed according to your wishes.

Whether a family chooses a joint trust, separate trusts, or another planning structure entirely, the most important goal is having a thoughtful and well-coordinated estate plan in place. Proper planning can help reduce uncertainty, minimize disputes, and provide peace of mind for both spouses and future generations.